

record; this approach really works. But they really don't have the perspective of how their strategy would have performed in different circumstances. Strategies that are based on a manager's recent experience will work until they inevitably don't work.

In contrast, we test our criteria to make sure that they are timeless and universal. Timeless means that we look at a strategy during all different times, and universal means that we look at how a strategy worked in all different countries. There is no reason why a strategy's effectiveness should change in different time periods or when you go from country to country. This broad analysis through time and geography gives us a unique perspective relative to most other managers. For example, to understand the current U.S. zero interest rate, deleveraging environment, we need to understand what happened a long time ago, such as the 1930s, and in other countries, such as Japan in the postbubble era. Deleveragings are very different from recessions. Aside from the ongoing deleveraging, there are no other deleveragings in the U.S. post-World War II period.

Are there risk limits in terms of individual positions?

There are limits in terms of position size, but not in terms of price. We don't use stops. We trade approximately 150 different markets, where I am using the term *market* to also mean spread positions, as well as individual markets. However, at any given time, we probably have only about 20 or so significant positions, which account for about 80 percent of the risk and are uncorrelated to each other.

When you are in a significant drawdown, do you do anything differently? Do you reduce your exposure?

I don't believe in reducing exposures when you have a losing position. I want to be clear about that. The only pertinent question is whether my being in a losing position is a statistically meaningful indicator of what the subsequent price movement will be. And it is not. For that reason, I don't alter positions because they are losing.

Is the implication that whether you are at a new high or you are down 15 percent, you will still size positions exactly the same way?

Yes, the positions taken and their size would be exactly the same.